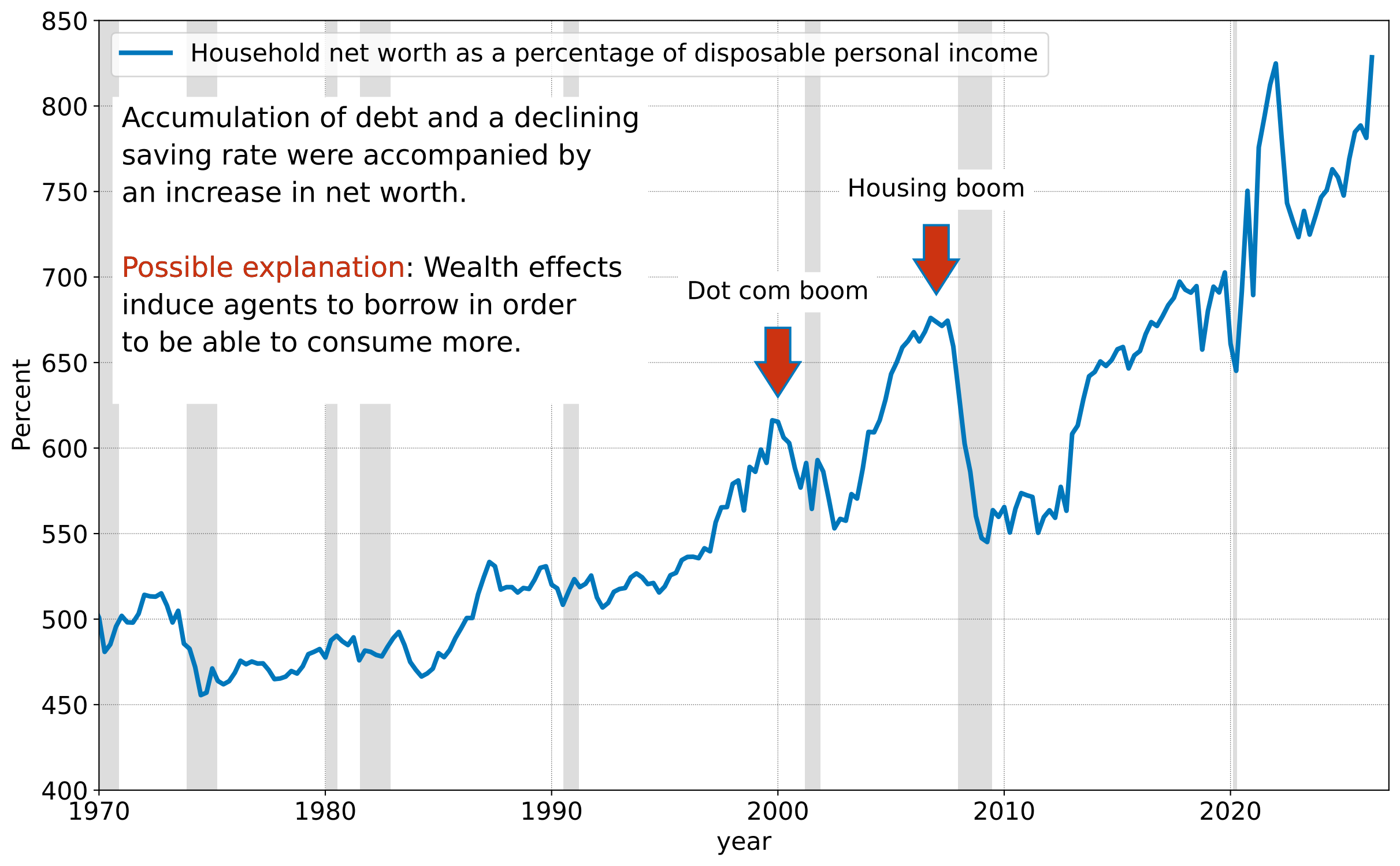
Household net worth as a percentage of disposable personal income
Accumulation of debt and a declining saving rate were accompanied by an increase in net worth.
Possible explanation: Wealth effects induce agents to borrow in order to be able to consume more.
Dot com boom
Housing boom
Percent
year
850
800
750
700
650
600
550
500
450
400
1970
1980
1990
2000
2010
2020